

Volume is up 70%. Profit per transaction is down 33%.

We grew by adding cheap transactions, not profitable ones. 88.6% of the decline is a shift in what we process, not a change in how we price or how well we run.

\$1.61 → \$1.08

Contribution per successful transaction, Jan → Dec

88.6%

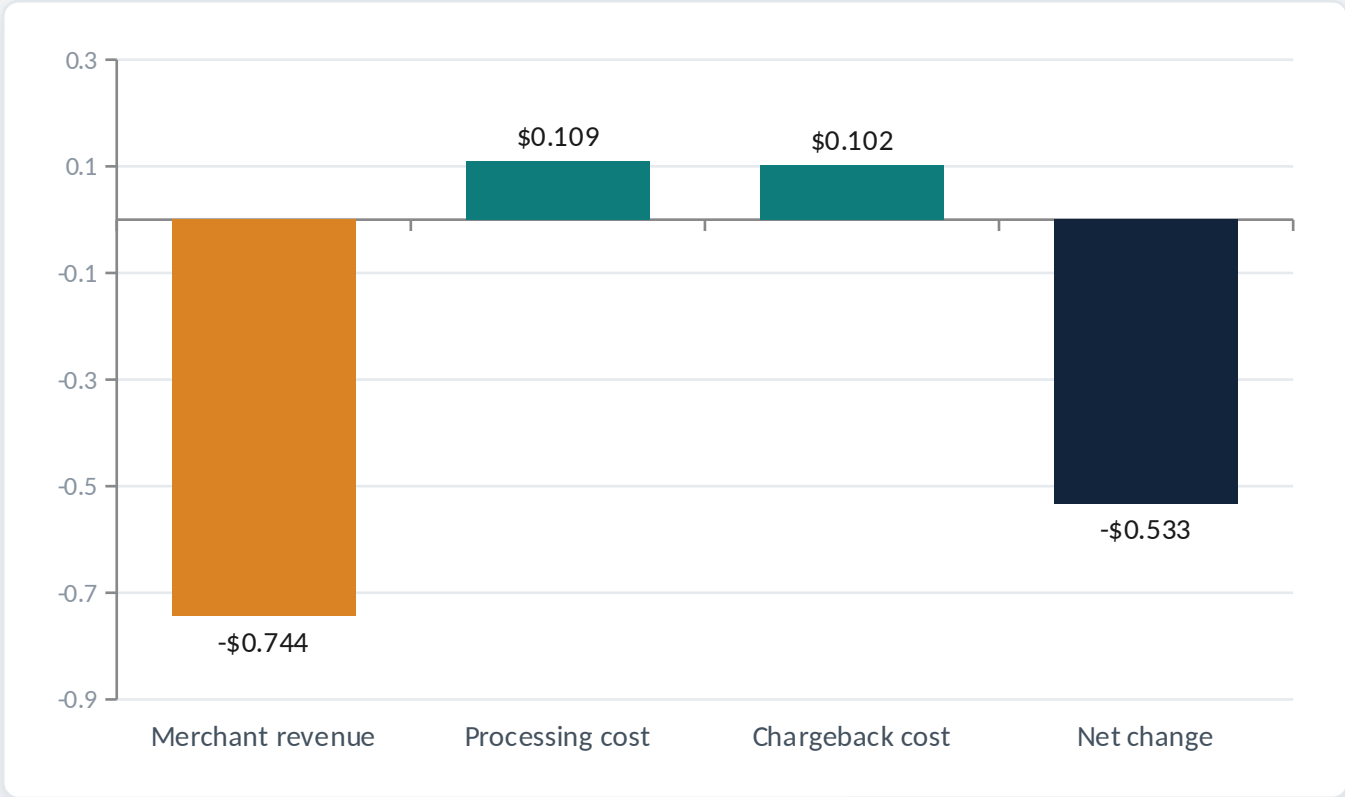
of the fall is ticket-size mix, not rate deterioration

39.3%

of the fall comes from over-\$500 payments losing share

The evidence: revenue per transaction collapsed, cost did not

Bridge from January to December contribution per successful transaction (USD)



1 Mix, not rate

Ticket-size mix explains $-\$0.472$ of the $-\$0.533$ move. Decomposition residual is exactly zero.

2 Small tickets took over

Under-\$25 share rose 15.0% $\rightarrow$ 33.7%. Over-\$500 share fell 10.2% $\rightarrow$ 7.0%.

3 Three hypotheses disproved

Pricing (no plan fell), fraud (-0.014pp), chargebacks ($\$0.25 \rightarrow \0.15) are all ruled out.

Data trust: 26 checks run, 10 failed. Two joins would have inflated volume 11.9 $\times$ and 1.8 $\times$ if left un-aggregated. 3,038 rows quarantined and fully reconciled.

Recommendation: price the floor, route the floor, defend the top

Small tickets are not the problem. Small tickets priced and routed like large ones are.

PRICE

Fee floor of \$0.35 on FLAT_2_0

DIGITAL_GOODS / AE went from +\$0.227 to – \$0.167 per transaction. A 2% fee on a \$14 ticket cannot cover a \$0.53 processing cost.

Returns the small-ticket cohort to positive contribution

ROUTE

Send sub-\$90 volume to PROV_NORTH

Under \$25, Orbit costs \$0.53 against North's \$0.14. Orbit is the right rail above \$500, the wrong one below it.

About \$0.30 per transaction on ~34% of volume

DEFEND

Protect over-\$500 volume and renegotiate Orbit

Large tickets improved their own economics while losing share. Orbit's fixed fee rose 50.6% mid-year with no repricing on our side.

Halts the 39.3% of the decline that mix caused

What we are not recommending: a fraud-model rollback or a chargeback programme. Both were tested and neither moved the KPI.

The next 60 days

Five actions, each with a named owner and a metric that tells us within the window whether it worked

#	Action	Owner	Success metric	Window
1	Route sub-\$90 transactions to PROV_NORTH	Head of Payments	Cost per successful txn by ticket band	Days 1–20
2	Apply a \$0.35 per-transaction fee floor on FLAT_2_0	CFO	Contribution per txn, DIGITAL_GOODS SG and AE	Days 1–30
3	Renegotiate the PROV_ORBIT fixed fee	Procurement	Fixed fee recorded in route_cost	Days 10–60
4	Protect large-ticket volume in TRAVEL and ELECTRONICS	Commercial	Share of successful volume above \$500	Days 15–60
5	Fix the wallet integration dropping merchant_id	Data Head	Missing merchant_id rate by channel	Days 20–45

Day-60 test: contribution per successful transaction stops falling and recovers toward \$1.30, with the under-\$25 cohort back above zero. If it has not moved, actions 1 and 2 were not the binding constraint and we re-open the pricing-plan analysis.

What could make this wrong

The analysis has four soft spots. Each has a check that would surface it before it costs us.

Merchant churn

A fee floor on SME digital-goods accounts may push some to a competitor. Contribution gains could be offset by lost volume.

Track churn count weekly on FLAT_2_0 accounts; cap the rollout at the top 50 merchants first.

Capacity at North

The routing shift assumes PROV_NORTH can absorb ~34% more volume at the quoted rate.

Confirm a volume commitment and re-quote before moving traffic.

Blind spot in the data

2.1% of wallet transactions carry no merchant_id, so cohort figures exclude them. 10 of 26 quality checks failed.

Action 5 restores attribution; the decomposition is re-run once it lands.

Latency is real but small

The MERIDIAN incident cut success from 90.1% to 83.3% (p95 852 → 5,663ms) and lost ~698 transactions. It hurts volume, not unit economics.

Fixing it does not move this KPI. It belongs on the reliability roadmap, not this plan.

Bottom line: the profit fall is a mix problem we created by growing into the cheapest tickets without pricing or routing for them. Both are fixable inside 60 days.